

To: On. Giorgia Meloni, Presidente del Consiglio dei Ministri

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Subject: Strategies to Address Below Replacement Fertility Rate in Italy

Executive Summary

As mentioned in the brief received from your Excellency's office, declining birth rates is a policy problem that has been heavily debated in the past few decades. Italy's total fertility rate (TRF) has been consistently below replacement fertility of 2.1 since 1976, currently at 1.24. This has contributed to an ageing population, with the total population projected to drastically decline by 2050. As per the Honourable Prime Minister's directions, this policy brief fulfils two key tasks. First, it examines the problem in detail, identifying its magnitude, causes and consequences. Second, it proposes and evaluates a set of policy options to recommend the most promising solution.

The problem analysis revealed the far-reaching consequences of declining fertility rooted in multifaceted socio-economic factors. Given the intensity of the problem and the delayed impact of fertility-raising interventions, there is a need to urgently address the labour shortages in Italy's economy. Considering this and four other criteria, expanding the labour force emerged as the most promising solution due to its high short-term impact, moderate costs, and alignment with Italy's economic needs. This approach leverages education and training for the local workforce while attracting expatriates and immigrants through targeted incentives and quotas, mitigating nationalist concerns with safeguards such as local hiring mandates and health surcharges for immigrants.

Problem Analysis

This section begins with a concise problem definition followed by a detailed problem analysis.

Cost of childcare, perceived uncertainty of the future, barriers to work-life balance and delayed family planning have led to an annual below-replacement fertility rate of 1.2 in Italy. This contributes to an ageing and shrinking population, economic decline, burden on the healthcare sector, and an unsustainable social security system.

Italy has had a below-replacement fertility rate for almost 5 decades now (Since 1975), while the population growth rate as of 2023 is -0.2%. According to the World Health Organization, Italy's population is projected to decline by 13% (~ 7.5 million) by the year 2050. The current average age is 46.6 making Italy one of the oldest populations after South Korea. This is projected to increase to 50.3 years by 2030 and 53.4 by 2050 (EuroStat). Consequently, the current age dependency ratio of 57.44%, which is already a staggering figure, is expected to rise to above 60% by 2050. These statistics all allude to one simple fact, at this rate of population ageing and decline, Italy is headed for a population collapse and consequent economic crisis.

The causes of this decline can be attributed to several intersecting and overlapping factors. A common misconception is that a central cause of the decline in TFR is a cultural shift in the structure of families due to social development. However, a deeper analysis of the data indicates that the proportion of families with 1-5 children in Italy has remained stable, with the sharp decline in fertility primarily a product of the exponential increase in people with no children (Shaw, 2022). There are two subsets within this group, those who don't want children and those who want children but delay having them. This delay has resulted in infertility creating a huge gap between desired fertility and real fertility. Both groups are driven by various motivations, rooted in a plethora of socio-economic issues. A frequently reported motivation is the financial and time costs of childcare, coupled with an inability to afford it. However, studies assessing policies that offer financial support report evidence of their influence on fertility decisions to be inconclusive (Bergsvik et al., 2021; Dalla-Zuanna & McDonald, 2023; North, 2023). A different facet of this is the perceived lack of future economic prospects that encourages delayed family planning. Additionally, some anticipate limited opportunities for their future children and choose not to subject them to such conditions. This is further exacerbated by the climate crisis, as pessimistic projections about the future amplify fears of instability and resource scarcity, leading many to reconsider or delay having children (Novelli et al., 2020; Vignoli et al., 2022). Additionally, barriers to achieving work-life balance present significant challenges, particularly for the growing number of women entering the workforce and investing in education. Current systems often fail to provide adequate support, making it difficult for individuals to balance professional responsibilities with raising children. Additionally, evolving gender roles within households increasingly emphasize shared childcare responsibilities between men and women, which existing labour market structures fail to support.

All these factors pose significant challenges to the Italian economy. The ageing population, combined with the predicted population collapse and a shrinking workforce can result in economic stagnation due to a decline in labour supply, productivity, consumer spending, and

innovation (Šerić, 2024; WeirItaly, 2024). A shrinking workforce also means a smaller taxpaying population, making it increasingly difficult to meet the growing demand for pensions, healthcare, and social services needed to support the growing elderly population. The strain on social systems also extends to housing, transportation, and social care services, all of which often require substantial government subsidies. This financial pressure leads to increased debt, higher taxes on the remaining workforce, or cuts to essential services, all of which hinder economic growth and exacerbate social inequalities. With rising life expectancy, these burdens have worsened significantly over the past 50 years and are projected to continue escalating, further increasing the dependency ratio.

A flipside to this is the potential benefits of this demographic change. Any economy with an ageing population experiences a window of opportunity known as the "demographic dividend," where the proportion of the working-age population is optimal for economic growth. However, capitalizing on this opportunity requires strategic planning and effective utilization of resources, which Italy failed to achieve. As a result, the country has now moved beyond the stage where it could reap the benefits of this demographic advantage (Lutz & Gailey, 2020).

Another emerging argument is that the rapid technological advancement we are currently experiencing might mitigate the need for a large population (Bunker, 2017; Park et al., 2020). If properly adapted, technological change could reduce the impact of a shrinking workforce by automating jobs, allowing for a more specialized and efficient population that can still drive economic growth. While this remains a potential possibility, it is crucial to consider the plurality of future scenarios. Given the high level of uncertainty and the lack of sufficient data or evidence to determine how profound these benefits might be—or if they will materialize at all—this argument cannot serve as a reliable basis for decision-making. This uncertainty is even higher in the case of Italy due to its low ranking in the EU's Digital Economy and Society Index (DESI), which reflects a slow pace in adopting technological advancements. The country also faces barriers such as underinvestment in research and development, regional disparities in technological adoption, and resistance to automation in traditional sectors.

Panoptic Analysis

To deepen my understanding of all dimensions of the problem and develop stronger and more feasible policies, I conducted a Panoptic Analysis, examining the issue through seven distinct lenses. The analysis reveals several key insights into the issue of fertility decline in Italy.

From an **equity** perspective, patriarchal socio-cultural norms reinforce traditional gender roles, creating a male-dominated market that discriminates against women. Additionally, there is a socio-economic North-South divide, with the South more vulnerable to the consequences of fertility decline, while lower-income families face higher childcare costs and burdens (Zambon et al., 2019). In the **political** sphere, aversion to immigrants driven by nationalist ideologies persists, though shifting attitudes due to the demographic crisis show some promise. Additionally, the time lag in outcomes from fertility-related policies necessitates sustained political commitment to ensure success in raising fertility rates. Moreover, these policies may not resonate with all constituents, as ethical and moral concerns arise over state intervention in personal decisions.

On the **institutional** front, the office within the Ministry of Family dedicated to promoting fertility rates is still relatively new, established in October 2023, and businesses remain resistant to adopting family-friendly practices due to perceived costs. **Legally**, anti-discrimination laws, parental leave, and child support policies require strengthening, while some laws regarding reproductive rights remain highly debated and face significant social resistance. From a **sustainability** lens, there is a trade-off between economic and environmental sustainability, as efforts to boost fertility rates and expand the population can increase resource consumption, carbon emissions, and environmental degradation, potentially conflicting with climate goals and sustainable development initiatives.

In terms of **science and technology**, technological and financial gaps within the healthcare system, particularly in access to Assisted Reproductive Technologies (ART), present a significant barrier. Finally, from an **economic** perspective, stability and job security are critical in shaping family planning decisions, highlighting the interplay between economic conditions and fertility behaviours. These multifaceted challenges have been used to inform the comprehensive and sustainable policy solutions this policy brief presents.

Stakeholder Analysis

The national government, particularly the Ministry for Family, Natality, and Equal Opportunities, as well as regional and local governments, play a central role in crafting and implementing policies to address these issues. The two primary and silent stakeholders impacted by this issue are the working-age population and the elderly. Businesses, healthcare providers, the education sector, and labour unions are self-identified stakeholders indirectly affected by the issue and often serve as mechanisms for implementing and reforming family-related policies. Finally, immigrant communities and the public, particularly those of childbearing age, are silent stakeholders directly targeted by policies. These diverse stakeholders, along with

their values and agendas, have been carefully considered in formulating policies, evaluating trade-offs, and shaping the final recommendation.

Policy Alternatives and Evaluation Criteria

There have been various policy responses to this issue but given the limited time and mixed success so far, uncertainty remains. Additionally, potential unintended consequences of these policies are difficult to gauge at this stage. Due to the 48-hour time constraint, the assessment of the evaluation criteria is a best estimate based on my expertise, research and analysis of similar policies implemented elsewhere.

Policy Alternatives

- 1) **Maintain Status Quo:** Employee benefits offering to cover the cost of childcare and nursery, 1 dollar housing, tax exemptions for families with at least 2 children, and 10-day paternity leave.
- 2) **Infertility Prevention:** Subsidizing ART to increase accessibility and establishing pre-conception clinics for early assessment and advice.
- 3) **Expand Labor Force:** Using a two-pronged approach, first, invest in the current local labour force by improving access to tertiary education and vocational training to enhance the quality and readiness of incoming workers. Second, attract expatriates and immigrants (through visas visa) by offering a streamlined visa process, opportunities for investment, industry-specific quotas, and strategic migration agreements with overpopulated countries.
- 4) **Private Sector Reform:** Require the private market to provide remote work options, enforce anti-discrimination laws to protect employees based on family or parental status and improve paternity and maternity leave policies.

Evaluation Criteria:

Due to time constraints, all criteria are measured using a qualitative scale of high, moderate and low to streamline the analysis.

- 1) **Short-term Impact on Labor Force Increase:** This reflects the policy's immediate effect on increasing the labour force. Given that many of the government's existing policies have long-term outcomes whose impact may take decades to materialize, this criterion highlights the need for policies that can produce more immediate results.
- 2) **Cost to Government:** This will account for the federal budget required to design, implement, and sustain the policy, including operational and administrative expenses.

- 3) **Ease of Administration:** This reflects the ability of administrative bodies and relevant agencies to effectively implement the policy with existing resources, including financial, technical, and personnel capacity.
- 4) **Socio-Economic Equity Achieved:** This reflects the extent to which the policy promotes socio-economic equity by targeting disadvantaged or at-risk groups, such as low-income families or regions with higher fertility challenges.
- 5) **Social Acceptance of Policy:** This gauges the community and stakeholder support for the policy, including acceptance from families, businesses, and influential institutions such as religious or cultural organizations.

CRITERIA ALTERNATIVES MATRIX					
	Evaluation Criteria				
Policy Alternatives	Short-Term Impact	Cost	Ease of Administration	Equity	Social Acceptance
Status Quo	Low	Moderate	High	Low	Moderate
Infertility Prevention	Low	High	Moderate	Moderate	Moderate
<i>Expand Labor Force</i>	<i>High</i>	<i>Moderate</i>	<i>Moderate</i>	<i>High</i>	<i>Moderate</i>
Private Sector Reform	Moderate	Moderate	Moderate	High	Low

My Policy Recommendation

Given the urgency of the situation, the current administration's extensive efforts to address birth rates, and the significant delay before such policies produce tangible outcomes, I prioritized short-term impact over direct effects on birth rates in my evaluation criteria. My proposed policy to expand the labour force delivers substantial short-term benefits by generating an immediate influx of workers through a two-pronged approach. First, it invests in the local workforce by enhancing access to tertiary education and vocational training, improving the quality and readiness of incoming workers. Second, it attracts expatriates and skilled immigrants through targeted incentives, such as tax benefits, streamlined visa processes, industry-specific

quotas, and strategic migration agreements with overpopulated countries. This dual strategy safeguards the interests of Italian citizens by enhancing their productivity while simultaneously tackling labour shortages and fostering economic growth and regional development, particularly in underserved areas like the South.

In Lieu of Italy's strong nationalist values, a trade-off lies in balancing immediate labour market needs with potential social and political resistance to immigration. However, a noticeable shift in perspective is already evident, reflected in your Excellency's publicly stated commitment to significantly increase the number of work visas in the coming years. Furthermore, public aversion tends to focus primarily on illegal immigration rather than legal migrants. A carefully designed policy could address these concerns while protecting Italian citizens. Measures such as mandating businesses to hire a certain percentage of local workers and introducing a cost structure that charges expatriates and legal immigrants above their expected use of public resources—such as a health surcharge— can mitigate these concerns and ensure equitable resource allocation for Italian citizens. Additionally, setting industry-specific quotas based on market needs, such as prioritizing care workers or targeting recruitment efforts in the south, would align immigration with economic demands.

Finally, your Excellency's cabinet should play an active role in instilling public confidence by clearly communicating and consistently reiterating the necessity and benefits of these measures, thereby addressing any potential social resistance. This approach ensures the policy is both practical and publicly acceptable.

In conclusion, the proposed policy to expand the labour force offers a practical and immediate solution to address Italy's demographic and economic challenges. By balancing the needs of Italian citizens, fostering socio-economic equity, and leveraging targeted immigration strategies, this approach aligns with your Excellency's goals and complements existing efforts to address birth rates. With careful implementation and public engagement, this policy can effectively mitigate labour shortages and promote sustainable economic growth.

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